

INFORMATION

To: All Masters of TNKC Fleet

Subject: Compliance with PCSOPEP Requirements

Kindly be advised that ACP has recently published a new advisory regarding compliance with PCSOPEP requirements. The document contains a reminder that, effective 1 January 2005, all vessels with fuel and/or oil cargo-carrying capacity of 400 MT or more in Panama Canal waters must submit a Panama Canal Shipboard Oil Pollution Emergency Plan (PCSOPEP) at least 96 hours prior to arrival.

The summary of the new compliance requirements which will be applicable from 1st October 2007 is as follows.

- Vessels failing to submit a compliant PCSOPEP at least 96 hours prior to arrival at Canal waters will be classified as non-compliant and will no longer be granted a grace period. Under such condition, the vessel will be charged accordingly, as well as for additional resources assigned to the vessel due to this non-compliance.
- ACP (Panama Canal Authority) has asked us to emphasize that the 96 hour requirement is a strict one. There will be no exceptions.
- Non-compliant vessels will only be programmed for transit after the ship owners, operators or shipping agent have paid or provided satisfactory guarantees for the payment of the applicable sanction, which will be set at a minimum of \$2,500 per non-compliant vessel/per transit.
- Subsequent arrivals to Panama Canal waters under similar non-compliance conditions will generate increased sanctions that may result in denial of transit.

Please note that our QI (OOPS Inc.) will submit the PCSOPEP to the ACP on behalf of your vessels for approval and **vessels do NOT need to send the plan to ACP directly.**

Once the PCSOPEP is reviewed and found to be sufficient, the ACP sends the plan preparer (OOPS) an email saying that the submitted plan is in compliance. This is called the **Confirmation of Compliance**. The Confirmation of Compliance is sent to the plan preparer, who then forwards it to the ship operator/manager.

When a ship transits the Panama Canal for the very first time, it is boarded for the purpose of establishing the SIN (IMO and Panama Canal Ship Identification Number) and to deliver the NOA (Notice of Acknowledgement) to the Master. This establishes the date for expiry of the PCSOPEP (four years from the date of delivery of the NOA to the ship).

When a ship with a SIN transits the Panama Canal, it might be boarded. However, the ACP boarding officers are very busy so not every ship is boarded. If the PCSOPEP has been approved for a ship with a SIN, the vessel may not be boarded and, therefore, the NOA will not be delivered. Thus, it is possible for a ship to make many transits of the Panama Canal without being boarded. As a result, there will be no NOA on board the ship, but the PCSOPEP is still approved.

What's more, the four year life of the PCSOPEP does not start running until the NOA as been delivered. So it is possible for a ship to transit the Panama Canal several times with an approved PCSOPEP before the NOA is delivered. The PCSOPEP is then valid for four years from the date of delivery of the NOA.

Therefore, before transiting the Panama Canal, please check the following

1. Hardcopy of PCSOPEP is onboard your vessel.
2. Confirmation of Compliance (**COC**) is filed with PCSOPEP. Always remember: You must have the COC before transiting the Canal.
3. If your vessel have Notice of Approval, whether it is valid or not. (for NOA issued before January 2007, it is valid 2 years from the date issued.)
4. If the NOA is expired, you should inform TNKC soon in order that we can arrange to review the plan for your vessel and obtain the renewed approval. We added a new item "PCSOPEP Notice of Acknowledgement" in EasyInfo (Certificate – 04 Insurance) to check the expiry date of the document.

If you have any questions about PCSOPEP, please feel free to contact TNKC SEP.

Your cooperation regarding these matters would be highly appreciated.

(This circular is electronically generated and signature is not required)

Capt. T. Ohama
Group Leader, MSAG

Attachment: OOPS Circular 009-07 : Compliance with PCSOPEP Requirements

Cc: TNKC Tokyo, TNKC Manila, Stargate Shipmanagement GmbH

Culbertson, Leigh Ann

RE: 8-15: OOPS Circular 009-07: Compliance with PCSOPEP Requirements



O'Brien Oil Pollution Service, Inc.

Compliance With PCSOPEP Requirements

CIRCULAR 009-07

15 August 2007

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***Who do the regulations apply to?**

- All vessels transiting Panama Canal waters

***When will this be applicable?**

- 1 October 2007

*** Effects on operations:**

- Vessels failing to submit a compliant PCSOPEP at least 96 hours prior to arrival at Canal waters will be classified as non-compliant and will no longer be granted a grace period. Under such condition, the vessel will be scheduled as Tier 3 and will be charged accordingly, as well as for additional resources assigned to the vessel due to this non-compliance.
- ACP has asked us to emphasize that the 96 hour requirement is a strict one. There will be no exceptions.

***Penalties for Non-Compliance:**

- Non-compliant vessels will only be programmed for transit after the ship owners, operators or shipping agent have paid or provided satisfactory guarantees for the payment of the applicable sanction, which will be set at a minimum of \$2,500 per non-compliant vessel/per transit.
- Subsequent arrivals to Panama Canal waters under similar non-compliance conditions will generate increased sanctions that may result in denial of transit.

***Panama Canal PCSOPEP Tier and Surcharge Fee Table:**

Type of Vessel	Fees per Transit
Vessels with an oil carrying capacity of less than 400 MT. The PCSOPEP program DOES NOT apply.	None
Vessels with an oil carrying capacity of 400 MT up to 1,000 MT (TIER 5)	\$200.00
Vessels with an oil carrying capacity of more than 1,000 MT up to 7,000 MT (TIER 1)	\$350.00
Vessels with an oil carrying capacity of more than 7,000 MT up to 15,000 MT (TIER 2)	\$600.00
Vessels with an oil carrying capacity of more than 15,000 MT (TIER 3)	\$750.00
Surcharge for tankers and barges carrying oil as cargo and having single side or single bottom	25%
Surcharge for tankers and barges carrying oil as cargo and having single hull	50%

***To view the Advisory in its entirety,**

As a result of this recent advisory, we strongly recommend that you review the current status of all vessels in your fleet that require a PCSOPEP, even if you have already made arrangements for such plans with OOPS. Doing so will ensure that we are able to assist you with your PCSOPEP needs prior to any transits of the Panama Canal.

Kindly note the following as discussed in the Master's Guide to Compliance in Panama:

Every ship transiting the Panama Canal must present to the ACP the PCSOPEP at least 96 Hours before arriving at the Panama Canal. A PCSOPEP can be sent to the ACP months or possibly even years in advance of the ship's next transit. Once the PCSOPEP is reviewed and found to be sufficient, the ACP sends the plan preparer an email saying that the submitted plan is in compliance. This is called the Confirmation of Compliance. The Confirmation of Compliance is sent to the plan preparer, who then forwards it to the ship operator/manager.

When a ship transits the Panama Canal for the very first time, it is boarded for the purpose of establishing the SIN and to deliver the NOA to the Master.

This establishes the date for expiry of the PCSOPEP (four years from the date of delivery of the NOA to the ship).

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Canal several times with an approved PCSOPEP before the NOA is delivered. The PCSOPEP is then valid for four years from the date of delivery of the NOA.

This creates another difficult situation for the PCSOPEP plan preparer and the ship's operator/manager. They do not know when the PCSOPEP expires

because they do not know when the NOA was delivered. Therefore, when the NOA is delivered to the ship, it is important that the Master sends a copy to the ship's operator/manager.